CHAPTER 14: ADVERTISEMENTS[344]

14.1. In addition to the provisions of the Fifth Schedule, AMCs shall comply with the following[345]:

14.1.1. While advertising IDCW payouts, all advertisements shall disclose the IDCW declared or paid in rupees per unit along with the face value of each unit of that scheme and the prevailing NAV at the time of declaration of the IDCW.

14.1.2. Further, for IDCW payouts at maturity of closed-ended scheme(s)/ at completion of the interval period of interval scheme(s), AMC shall advertise that "the entire distributable surplus at the time of maturity or at the completion of the interval period shall be distributed

14.1.3. Pay out of IDCW/ Bonus: While advertising pay outs, all advertisements shall disclose, immediately below the pay-out figure (in percentage or in absolute terms) that the NAV of the scheme, pursuant to pay out would fall to the extent of payout and statutory levy (if applicable).

14.2. Disclosing performance related information in Mutual Fund advertisements[346]

14.2.1. In performance advertisements of Mutual Fund schemes:

(a) Performance of the Mutual Fund scheme shall be advertised in terms of CAGR at least for the past 1 year, 3 years, 5 years and since inception.

(b) Point-to-point returns on a standard investment of Rs. 10,000/- shall also be provided.

(c) Information based on period computed from the last day of month-end preceding the date of advertisement, shall be provided.

(d) It shall be specifically mentioned whether performance so disclosed, is of regular or direct plan of the Mutual Fund scheme along-with a footnote mentioning that different plans have a different expense structure.

(e) If a Mutual Fund scheme has not been managed by the same fund manager for the full period of the information being published in the advertisement, the same shall be disclosed in a footnote.

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[344] SEBI Circular No. Cir/IMD/DF/13/2011 dated August 22, 2011 and SEBI Circular No. Cir/IMD/DF/6/2012 dated February 28, 2012 and SEBI Circular No. SEBI/IMD/CIR No.1/64057/06 dated April 04, 2006, Refer SEBI email dated May 03, 2017, Refer SEBI letter No. IMD/DF2/RS/2017/10751 dated May 12, 2017, Refer SEBI letter No. IMD/SEC4/OW/P/2023/9448/1 dated March 03, 2023

[345] SEBI Circular No. Cir/IMD/DF/6/2012 dated February 28, 2012 and Circular No. SEBI/HO/IMD/DF2/CIR/P/2021/024 dated March 04, 2021, Refer SEBI email dated June 02, 2010

[346] SEBI Circular No. Cir/IMD/DF/23/2017 dated March 15, 2017

14.2.2. Where the scheme has been in existence for less than six months, past performance shall not be provided. Further, if the scheme has been in existence for more than six months but less than one year, then simple annualized growth rate of the scheme for the past 6 months and since inception from the last day of month-end preceding the date of advertisement shall be provided[347].

14.2.3. [348]In case of Overnight funds, Liquid funds and Money Market funds, wherein investors have very short investment horizon, the performance can be advertised by simple annualisation of yields if a performance figure is available for at least 7 calendar days, 15 calendar days and 30 calendar days provided it does not reflect an unrealistic or misleading picture of the performance or future performance of the scheme.

14.2.4. For the sake of standardization, a similar return in INR and by way of CAGR must be shown for the following apart from the scheme benchmarks:

Sr. No.	**Category of Schemes**	**Additional Benchmark**
1	All Equity Scheme	Sensex/ Nifty
2	All Debt Schemes having duration / maturity upto 1 year and Arbitrage Funds	1-year T-Bill
3	All Debt Schemes which are not covered in Point 2	10 year dated GOI Security
4	Conservative Hybrid Fund	10 year dated GOI Security
5	Balanced Hybrid Fund / Aggressive Hybrid Fund / Dynamic Asset Allocation/ Multi Asset Allocation	Sensex / Nifty
6	Equity Savings	10 year dated GOI Security

[347] SEBI Circular No. Cir/IMD/DF/13/2011 dated August 22, 2011 and SEBI Circular No. SEBI/HO/IMD/DF2/CIR/P/2021/024 dated March 04, 2021
[348] SEBI Circular No. SEBI/HO/IMD/DF2/CIR/P/2021/024 dated March 04, 2021

7	Index Funds / ETFs & FoFs (Overseas/ Domestic)	Appropriate benchmark based on the underlying asset allocation as per above
8	Retirement Fund / Children's Fund	Sensex/Nifty

These disclosures shall form a part of the SAI and all advertisements of Mutual Funds.

14.2.5. Any disclosure regarding quarterly/ half yearly/ yearly performance shall pertain to respective calendar quarter/ half year/ year only.

14.2.6. [349]When the performance of a particular Mutual Fund scheme is advertised, the advertisement shall also include the performance data of all the other schemes managed by the fund manager/s of that particular scheme. Such performance data of the other schemes managed by the fund manager shall be provided as follows:

(a) Performance of other schemes managed by the fund manager, along-with their respective scheme's benchmark, shall be provided in terms of CAGR for a period of 1 year, 3 years and 5 years. The period referred here shall be computed in the same manner as that of the scheme being advertised.

(b) In case the number of schemes managed by a fund manager is more than six, then the AMC shall disclose the total number of schemes managed by that fund manager along with the performance data of top 3 and bottom 3 schemes (in addition to the performance data of the scheme for which the advertisement is being made) managed by that fund manager in all performance related advertisements. However, in such cases, AMCs shall ensure that true and fair view of the performance of the fund manager is communicated by providing additional disclosures, if required.

(c) If a Mutual Fund scheme has not been managed by the same fund manager for the full period of information being published in the advertisement, the same shall be disclosed in a footnote.

(d) For digital (internet-enabled media) advertisement, Mutual Funds shall provide an exact website link to such summarized

[349] SEBI Circular No. Cir/IMD/DF/23/2017 dated March 15, 2017

performance of other schemes managed by the same fund manager.

(e) An indicative format for disclosure of performance of other schemes managed by the concerned fund manager is provided under Format No. 7A.

14.3. *Disclosure of Performance of Schemes post-merger*[350]:

14.3.1. Disclosure of performance of schemes post-merger shall be as given below

(a) When two schemes, for example, Scheme A (Transferor Scheme) & Scheme B (Transferee Scheme), having similar features, get merged and the merged scheme i.e., surviving scheme also has the same features, the weighted average performance of both the schemes needs to be disclosed.

(b) When Scheme A (Transferor Scheme) gets merged into Scheme B (Transferee Scheme) and the features of Scheme A/ Scheme B are retained, the performance of the scheme whose features are retained needs to be disclosed.

(c) When Scheme A (Transferor Scheme) gets merged with Scheme B (Transferee Scheme) and a new scheme, Scheme C emerges after such consolidation or merger of schemes, the past performance need not be provided.

14.3.2. In addition to disclosing the performance of the scheme as mentioned above, past performance of such scheme(s) whose features are not retained post-merger may also be made available on request with adequate disclaimer.

***14.4. Indicative portfolios and yields in mutual funds schemes*[351]**

14.4.1. Mutual Funds, AMCs and distributors shall not offer any indicative portfolio and indicative yield, and no communication in this regard in any manner whatsoever shall be issued. The compliance of the same shall be monitored by the AMC and Trustees of Mutual Funds and reported in their respective reports to the Board.

14.5. Indicative portfolio or yield in close ended debt oriented mutual fund schemes[352]

[350] SEBI Circular No- SEBI/HO/IMD/DF3/CIR/P/2018/69 dated April 12, 2018
[351] SEBI Circular No. IMD/CIR No. 14/151044/09 dated January 19, 2009
[352] SEBI Circular No. CIR/IMD/DF/12/2011 dated August 01, 2011

14.5.1. Mutual Funds /AMCs shall make following additional disclosures in the SID/SAI and KIM without indicating the portfolio or yield, directly or indirectly:

(a) credit evaluation policy for the investments in debt securities.

(b) the list of sectors they would not be investing.

(c) the type of instruments which the schemes propose to invest viz. CPs, CDs, Treasury bills etc.

(d) the floors and ceilings within a range of 5% of the intended allocation (in %) against each sub asset class/credit rating. For example, it may be disclosed that x-y % would be in AAA rated bank CD as per the sample matrix below:

Credit Rating / Instruments	AAA	AA	A	BBB
CDs				
CPs				
NCDs				
Securitized debt				
Any Other				

14.6. After the closure of NFO, the AMCs shall report in the next meeting of AMCs and Trustees the publicized percentage allocation and the final portfolio. Variations between indicative portfolio allocation and final portfolio shall not be permissible.